

Partnerships

Introduction

- A partnership is two or more people carrying on a business together with a view to profit.
- The partnership is treated as one trading business.
- But each partner is taxed separately.
- Each partner pays tax on their own share of the partnership profit.

Easy memory line:

- Partnership calculates profit once.
- Partners pay tax separately.

Why this topic matters

- Partnership questions usually test:
 - allocation of profit between partners
 - change in profit-sharing ratio
 - new partner joining
 - partner retiring
 - capital allowances
 - partner loss relief
- The main trap is treating the partnership itself as the taxpayer.
- For income tax, the partners are the taxable persons.

Core rules

A. Partnership profit

- The partnership calculates its tax adjusted trading profit in the same way as a sole trader.
- Then the profit is shared between the partners.
- Each partner includes their share in their own income tax computation.

B. Partnership return

- The partnership submits a partnership return.
- This shows each partner's share of income and gains.

- Each partner then uses their share in their own personal tax return.

Important:

- The partnership is not taxed like a company.
- The partners are taxed individually.

Profit allocation between partners

Profit-sharing arrangements may include:

- partner salary
- interest on capital
- profit-sharing ratio for the remaining profit

Important:

- Partner salary is not an expense of the partnership.
- Interest on partner capital is not an expense of the partnership.
- They are simply ways of sharing profit.

Profit allocation order:

1. Start with tax adjusted trading profit.
2. Allocate partner salaries.
3. Allocate interest on capital.
4. Share the remaining balance using the profit-sharing ratio.

Easy memory line:

- Salary first
- Interest second
- Residual profit last

How to calculate partnership profit allocation

Example 1: Basic allocation

Tax adjusted profit = £100,000

Partners:

- Ali salary = £20,000
- Ben salary = £10,000

- Interest on Ali's capital = £5,000
- Interest on Ben's capital = £3,000
- Balance shared Ali:Ben = 60:40

Step 1: Allocate salaries

Ali = £20,000

Ben = £10,000

Step 2: Allocate interest on capital

Ali = £5,000

Ben = £3,000

Step 3: Find remaining profit

$£100,000 - £20,000 - £10,000 - £5,000 - £3,000 = £62,000$

Step 4: Share remaining profit

Ali = $£62,000 \times 60\% = £37,200$

Ben = $£62,000 \times 40\% = £24,800$

Final allocation:

Ali = $£20,000 + £5,000 + £37,200 = £62,200$

Ben = $£10,000 + £3,000 + £24,800 = £37,800$

Total = £100,000

Important:

- Do not deduct partner salaries before calculating tax adjusted profit.
- They are not business expenses.
- They are just profit allocations.

Change in profit-sharing ratio

If profit-sharing arrangements change during the accounting period:

- split the profit by time
- allocate the first part using old arrangement
- allocate the second part using new arrangement

Example 2: Change in PSR

Tax adjusted profit for year ended 31 March 2026 = £120,000

Old ratio for 6 months:

$$A:B = 50:50$$

New ratio for 6 months:

$$A:B = 70:30$$

Step 1: Time apportion profit

$$\text{First 6 months} = £120,000 \times 6/12 = £60,000$$

$$\text{Second 6 months} = £120,000 \times 6/12 = £60,000$$

Step 2: Allocate old period

$$A = £60,000 \times 50\% = £30,000$$

$$B = £60,000 \times 50\% = £30,000$$

Step 3: Allocate new period

$$A = £60,000 \times 70\% = £42,000$$

$$B = £60,000 \times 30\% = £18,000$$

Final allocation:

$$A = £72,000$$

$$B = £48,000$$

Exam point:

- Always time apportion first if the ratio changes during the year.

Capital allowances in partnerships

- Capital allowances are calculated for the partnership as a whole.
- They are deducted before the profit is allocated between partners.
- This applies whether the asset is:
 - owned by the partnership, or
 - owned personally by a partner but used in the partnership business

Important:

- Do not calculate capital allowances separately for each partner.
- First calculate total partnership capital allowances.
- Then allocate the final profit.

Simple order:

Tax adjusted profit before capital allowances

Less: partnership capital allowances

= tax adjusted partnership profit
Then allocate between partners

New partner joining

When a new partner joins:

- this causes a change in profit-sharing arrangements
- the partnership profit is calculated as normal
- the incoming partner is treated like a newly self-employed person
- the existing partners' basis of assessment is not affected

Important:

- Only the new partner has commencement-style treatment.
- Existing partners continue as normal.

Partner retiring

When a partner retires:

- the leaving partner is taxed on their share of profits up to retirement
- the leaving partner may also be taxed on any untaxed transition profits
- the remaining partners are not affected

Important:

- Apply the leaving rules only to the retiring partner.
- Do not treat the whole firm as ceasing unless the whole partnership stops.

Cessation of the whole partnership

If the whole firm ceases:

- the final year rules apply to all partners
- the business has stopped for everyone

Easy memory line:

- Partner leaves = only that partner affected
- Firm stops = all partners affected

Partnership losses

- Partnership losses are allocated between partners in the same way as profits.
- Each partner then chooses how to relieve their own share of the loss.
- Partners can claim the same loss reliefs as sole traders.

Common reliefs include:

- against total income
- against total income and gains, where relevant
- carry forward against future profits of the same trade
- opening year loss relief
- terminal loss relief

Important:

- Loss relief is claimed by each partner individually.
- One partner's best relief may be different from another partner's best relief.

Loss relief for new and leaving partners

A. New partner

- A new partner may claim opening year loss relief on their share of losses from the first four tax years.

B. Retiring partner

- A retiring partner may claim terminal loss relief if conditions are met.
- They cannot carry forward the loss because they will no longer have future profits from that trade.

C. Whole firm ceases

- All partners may claim terminal loss relief if the firm ceases trading.

Exam point:

- Carry forward needs future profits of the same trade.
- If the partner has left, there are no future profits from that trade.

Exam approach

For income tax:

1. Calculate partnership tax adjusted profit.
2. Deduct capital allowances.
3. Check if profit-sharing ratio changed.
4. Allocate salary, interest and residual profit.
5. Each partner uses their share in their own income tax computation.

For losses:

1. Allocate the loss between partners.
2. Each partner decides their own loss relief claim.

Common mistakes

- Treating partner salary as a deductible expense.
- Treating interest on partner capital as a deductible expense.
- Forgetting to time apportion profit when the profit-sharing ratio changes.
- Allocating profit before deducting capital allowances.
- Calculating capital allowances separately for each partner.
- Treating the partnership as the taxpayer for income tax.
- Forgetting each partner has their own loss relief claim.
- Allowing a retiring partner to carry forward losses.

Quick recap

Partnership profit:

- calculate once
- allocate between partners
- tax partners individually

Partner salary and interest:

- not expenses
- only profit allocations

Change in ratio:

- time apportion first
- then allocate using old and new ratios

Capital allowances:

- calculated for the firm
- deducted before profit allocation

Losses:

- allocated like profits
- relieved by partners individually

Jekyll and Hyde started a professional practice on 1 January 2025, preparing annual accounts to 31 December. Their initial profit-sharing arrangements are:

	Jekyll	Hyde
Salaries	£30,000	£40,000
10% interest, on capital account balances of:	£200,000	£150,000
Profit-sharing ratio	60%	40%

Adjusted trading profits for the year ended 31 December 2025 were £140,000.

The allocated shares of profit for the year ended 31 December 2025 are as follows:

	Total	Jekyll	Hyde
	£	£	£
Year ended 31 December 2025	<u>140,000</u>		

Salaries	70,000	30,000	40,000
Interest on capital (at 10%)	35,000	20,000	15,000
	105,000		
Profit share (balance £(140,000 – 105,000)) (60:40)	35,000	21,000	14,000
Total allocation of partnership profits	140,000	71,000	69,000

Facts as in above question.

Adjusted trading profits for the year ended 31 December 2026 were £160,000.

Calculate the trading income assessment for Jekyll and Hyde for the tax years 2024-25 and 2025-26.

	Total	Jekyll	Hyde
	£	£	£
Year ended 31 December 2025			
Total allocation of partnership profits	140,000	71,000	69,000
Year ended 31 December 2026			
Salaries	70,000	30,000	40,000
Interest on capital (at 10%)	35,000	20,000	15,000
	105,000		
Profit share (balance £(160,000 – 105,000)) 60:40	55,000	33,000	22,000
Total allocation of partnership profits	160,000	83,000	77,000

Jekyll and Hyde both commenced trading on 1 January 2025, so their first year of assessment is 2024-25. Under the tax year basis, this will be the period 1 January 2025 to 5 April 2025.

Tax year 2024-25	
- Jekyll - £71,000 × 3/12	17,750
- Hyde - £69,000 × 3/12	17,250

For the tax year 2025-26, they are taxed on the period 6 April to 31 December 2025 plus the period 1 January 2026 to 5 April 2026, so their trading income assessments are:

Tax year 2025-26	
Jekyll - $\text{£}71,000 \times 9/12 + \text{£}83,000 \times 3/12$	74,000
Hyde - $\text{£}69,000 \times 9/12 + \text{£}77,000 \times 3/12$	0
	<u>71,000</u>

Janine and Hunter have been in partnership since 2013 and prepare accounts annually to 31 March.

Janine and Hunter both receive an annual salary of £50,000. The partners have always shared the remaining profits 50:50, however Janine will be taking on more responsibility and it was decided to change the profit-sharing ratio to 70% for Janine and 30% for Hunter, with effect from 1 July 2025.

Adjusted trading profits for the year ended 31 March 2026 were £180,000.

The allocated shares of profit for the year ended 31 March 2026 are as follows:

	Total £	Janine £	Hunter £
Year ended 31 March 2026			
1 April to 30 June 2025 ($\frac{3}{12} \times \text{£}180,000 = \text{£}45,000$)			
Salaries ($\frac{3}{12} \times \text{£}50,000$)	25,000	12,500	12,500
Profit share (balance $\text{£}(45,000 - 25,000)$) 50:50	20,000	10,000	10,000
	<u>45,000</u>		
1 July 2025 to 31 March 2026 ($\frac{9}{12} \times \text{£}180,000 = \text{£}135,000$)			
Salaries ($\frac{9}{12} \times \text{£}50,000$)	75,000	37,500	37,500
Profit share (balance $\text{£}(135,000 - 75,000)$) 70:30	60,000	42,000	18,000
	<u>135,000</u>		
Total	<u>180,000</u>	<u>102,000</u>	<u>78,000</u>

Their trading income assessments for the tax year 2025-26 will be their share of profit for the year ended 31 March 2026 of £102,000 and £78,000 respectively

Katriona, Andreas and Isabella are in partnership sharing profits 40:30:30. For the year ended 31 March 2026, partnership adjusted profits before capital allowances were £150,000. The partnership has elected to use the accruals basis.

The tax written down values at 1 April 2025 were:

	£
Main pool	10,000
Car used by Katriona 50% business use (CO2 emissions - 60 grams/km)	18,000

Capital allowances year ended 31 March 2026	Main pool £	Car (50%) £	Allowances £
TWDV b/f	10,000	18,000	
WDA @ 18%	(1,800)		1,800
WDA @ 6%		(1,080) × 50%	540
TWDV c/f	8,200	16,920	2,340

	£
Adjusted profit before capital allowances	150,000
Less: capital allowances	(2,340)
Tax adjusted trading profits	147,660

	£
Allocation of profits	
Katriona (40%)	59,064
Andreas (30%)	44,298

Isabella (30%)

44,298

147,660

Smith and Jones are doctors in general practice. The practice owns all the assets attracting capital allowances including the cars that are used privately by each doctor. The partnership has elected to use the accruals basis.

For the year ended 31 March 2026, the tax written-down values of the assets at 1 April 2025 were:

	£
Main pool (= firm's assets)	65,000
Cars (CO2 emissions of 50 grams/km)	
- Smith (business use 60%)	24,000
- Jones (business use 90%)	18,000

On 1 October 2025, the firm acquired further office equipment costing £25,000. Partnership adjusted profits before capital allowances were £228,500 and the profit-sharing arrangements are:

	Smith	Jones
Partners' salaries	£50,000	£50,000
Profit-sharing ratio	$\frac{2}{3}$	$\frac{1}{3}$

Calculate the profit allocation for the period of account.

	Total £	Smith £	Jones £
Year ended 31 March 2026			
Adjusted profit before capital allowances	228,500		
Less: Firm's capital allowances (W)	(42,208)		
Tax adjusted trading profits	186,292		
Profit-sharing arrangement:			
Salaries	100,000	50,000	50,000
Profit-sharing ratio (2:1)	86,292	57,528	28,764

186,292	107,528	78,764
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Working

Capital allowances - y/e 31 March 2026

		Cars			
	£	Main pool £	Smith £	Jones £	Claim £
WDV at 1 April 2025		65,000		24,000	18,000
Additions qualifying for AIA					
Equipment	25,000				
less: AIA	(25,000)				25,000
	—	—			
WDA					
—18%		(11,700)			11,700
—18%			(4,320)	(x 60%)	2,592
—18%				(3,240)	(x 90%) 2,916
WDV c/f		53,300	19,680	14,760	
Allowances					42,208

Ahmed and Oliver have been in partnership since 2018, sharing partnership profits 50:50. Zain joined the partnership on 1 January 2025, and the profits are split 40:40:20 between the three partners from that date.

Tax adjusted profits for the year ended 30 June 2025 are £90,000 and for the year ended 30 June 2026 are £120,000.

Profit Allocation:

	Total £	Ahmed £	Oliver £	Zain £
Year ended 30 June 2025				
1 July to 31 December 2024 (6/12 × £90,000) (50:50)	45,000	22,500	22,500	

1 January to 30 June 2025 (6/12 × £90,000) (40:40:20)	45,000	18,000	18,000	9,000
Total profits	90,000	40,500	40,500	9,000
Year ended 30 June 2026 (40:40:20)	120,000	48,000	48,000	24,000

As the partnership operates a year end which is not the same as the tax year, Ahmed and Oliver have transition profits of £31,500 each, 20% of which (being £6,300) are being taxed annually from the tax year 2023-24.

For the tax year 2025-26, Ahmed and Oliver will be assessed as follows:

Tax year	Basis Period	Profits £
2025-26	6 April to 30 June 2025: $3/12 \times £40,500$	10,125
	1 July 2025 to 5 April 2026: $9/12 \times £48,000$	36,000
		46,125
	Transition profits: $£31,500 \times 20\%$	6,300
		52,425

As Zain joined the partnership on 1 January 2025, his profits will be assessed from the start of trading until 5 April 2026 as follows:

Tax year	Basis Period	Profits £
2024-25	1 January to 5 April 2025: $3/6 \times £9,000$	4,500
2025-26	6 April to 30 June 2025: $3/6 \times £9,000$	4,500
	1 July 2025 to 5 April 2026: $9/12 \times £24,000$	18,000
		22,500

Jack, Charlotte and Joseph have been in partnership since 2011, sharing profits equally and preparing accounts annually to 31 December. Joseph decided to retire on 30 June 2025. Jack and Charlotte will share the remaining profits equally.

The partnership's tax adjusted trading profits were:

Year ended 31 December 2025: £210,000,

Year ended 31 December 2026: £190,000.

Transition profits arising in the tax year 2023-24 were £17,500 for each partner, 20% of which (being £3,500) is to be taxed annually from the tax year 2023-24.

	Total	Jack	Charlotte	Joseph
	£	£	£	£
Profit Allocation:				
Year ended 31 December 2025:				
1 January 2025 to 30 June 2025	105,000	35,000	35,000	35,000
1 July 2025 to 31 December 2025	105,000	52,500	52,500	
	<u>210,000</u>	<u>87,500</u>	<u>87,500</u>	<u>35,000</u>
Year ended 31 December 2026	<u>190,000</u>	<u>95,000</u>	<u>95,000</u>	

Joseph leaves the partnership during the tax year 2025-26. For the tax year 2025-26 Joseph will be taxed on his profits for the period 6 April 2025 to 30 June 2025, being £17,500 ($£35,000 \times 3/6$). He will also be taxed on the remainder of transition profits not already taxed, being £10,500 ($£17,500 - £3,500 - £3,500$).

Jack and Charlotte are unaffected by Joseph retiring. For the tax year 2025-26, they will be taxed on the tax year basis as normal, being the period 6 April 2025 to 31 December 2025 plus the period 1 January 2026 to 5 April 2026. Their taxable profits will be £89,375 ($(£87,500 \times 9/12) + (£95,000 \times 3/12)$). They will also each be taxed on transition profits of £3,500

Dalfine and Pierre have been in partnership since 2005, sharing profits equally and preparing accounts annually to 31 December. The partners decided to retire, and the partnership ceased trading on 31 March 2026.

Tax adjusted trading profits for the recent periods were:

Year ended 31 December 2025	£100,000
3 months ended 31 March 2026	£30,000

Transition profits arising in the tax year 2023-24 were £12,500 each, of which 20% (being £2,500) were taxed in 2023-24 and in 2024-25.

The trade ceases during the tax year 2025-26. Since the trade has ceased, the remaining transition profits must also be taxed on Dalfine and Pierre in the tax year 2025-26. Total profits taxed in 2025-26 for each partner will be as follows:

	£
6 April 2025 to 31 December 2025 ($\frac{1}{2} \times £100,000 \times 9/12$)	37,500
1 January 2026 to 31 March 2026 ($\frac{1}{2} \times £30,000$)	15,000
Remaining transition profits to be taxed (£12,500 – £2,500 – £2,500)	7,500
	<u>60,000</u>

Piper, Paul and Quincy have been in partnership for many years, preparing accounts annually to 31 October. On 30 April 2025, Paul resigned from the partnership. On 31 October 2025, Piper and Quincy dissolved the firm and ceased trading.

Adjusted trading profits for the year ended 31 October 2025 were £250,000.

Further information on the profit-sharing agreements (PSA) and transition profits of the partnership are as follows:

	Piper	Paul	Quincy
	£	£	£
PSA from 1 November 2024 to 30 April 2025			
Salaries per year	50,000	40,000	40,000
Balance in profit-sharing ratio	50%	25%	25%
PSA from 1 May 2025 to 31 October 2025			
Salaries per year	60,000	-	60,000
Balance in profit-sharing ratio	50%	-	50%
Transition profits arising in the tax year 2023-24, of which 20% were taxed in 2023-24 and in 2024-25	48,958	29,167	40,625

(a) Show the allocation of profits between the partners for the year ended 31 October 2025.

(b) Calculate the trading income assessments for each partner for the tax year 2025-26.

(a) Allocation of profits for year ended 31 October 2025

	Total £	Piper £	Paul £	Quincy £
Year ended 31 October 2025				
To 30 April ($6/12 \times £250,000 = £125,000$)				
Salaries (6/12)	65,000	25,000	20,000	20,000
Balance $£(125,000 - 65,000)$ (50:25:25)	60,000	30,000	15,000	15,000
	<u>125,000</u>			
To 31 October 2025 ($6/12 \times £250,000 = £125,000$)				
Salaries (6/12)	60,000	30,000	-	30,000
Balance $£(125,000 - 60,000)$ (50:50)	65,000	32,500	-	32,500
	<u>125,000</u>			
	<u>250,000</u>	<u>117,500</u>	<u>35,000</u>	<u>97,500</u>

(b) Assessments for tax year 2025-26

(i) Piper (ceases in 2025-26)

	£	£
Partnership profit:		
1 April 2025 to 31 October 2025		
$£117,500 \times 7/12$		68,542
Transition profit	48,958	
Less: taxed in 2023-24 and 2024-25 ($£48,958 \times 20\% \times 2$)	<u>(19,583)</u>	
Remainder of transition profit to be taxed on cessation		<u>29,375</u>
		<u>97,917</u>

(ii) Paul (ceases in 2025-26)

	£	£
Partnership profit:		
1 April 2025 to 30 April 2025		
$£35,000 \times 1/6$		5,833
Transition profit	29,167	
Less: taxed in 2023-24 and 2024-25 ($£29,167 \times 20\% \times 2$)	<u>(11,667)</u>	
Remainder of transition profit to be taxed on cessation		<u>17,500</u>
		<u>23,333</u>

(iii) Quincy (ceases in 2025-26)

	£	£
Partnership profit:		
1 April 2025 to 31 October 2025		
£97,500 × 7/12		56,875
Transition profit	40,625	
Less: taxed in 2023-24 and 2024-25 ($£40,625 \times 20\% \times 2$)	(16,250)	
Remainder of transition profit to be taxed on cessation		24,375
		81,250